Installment, Secured, and Unsecured Loans

All loans are alike in some ways. You borrow an amount of money, called the principal, for a set amount of time, called the term, at a fixed-interest rate or a variable rate. Some loans require the principal to be repaid all at once. Others, called installment loans, require regular payments of a specified amount at predetermined intervals, usually every month.

Secured and Unsecured Installment Loans

Loans can be secured or unsecured, which refers to whether or not they are backed up by collateral. For example, car loans and mortgages are secured loans. Your promise to repay the loan is secured by the car or house you're buying. If you fail to make your payments, the lender can seize the car or house to recoup the money it lent you. Unsecured loans are backed up only by your promise to repay.

ALERT

Most people use installment loans when buying a car or boat. Sales contracts are a type of installment loan commonly used when purchasing appliances or furniture. The retailer provides financing or outsources it to a finance company and you make monthly payments, including interest, until the balance is paid.

Revolving Credit

Revolving credit is more flexible than an installment loan. There's a maximum you can borrow, and a minimum you must pay each month, but the rest is up to you. Personal lines of credit are a type of revolving credit